

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the	)	
Interstate Transmission System	)	
	)	Docket No. RM26-4-000
	)	
	)	

REPLY COMMENTS OF VISTRA CORP.

Vistra Corp. (“Vistra”) hereby respectfully submits these reply comments concerning the Secretary of Energy’s letter regarding the interconnection of large loads and the accompanying Advanced Notice of Proposed Rulemaking proposal (“DOE ANOPR Proposal”) in the above-captioned proceeding.¹

I. Introduction

While the extensive record of this proceeding reflects a wide range of views, there is general agreement on two fundamental issues. First, winning the AI race will require significant new digital infrastructure and energy infrastructure to generate and deliver power.² Second, that infrastructure must be developed in the most efficient way possible.³

The need for reform is clear and urgent. Regulatory uncertainty is stymying data center development and the Commission’s inaction in its most significant proceedings involving data

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Proposed Advanced Notice of Proposed Rulemaking, Docket No. RM26-4-000 (filed Oct. 23, 2025) (“DOE ANOPR Proposal”).

² See Amazon Comments at 1; Entergy Comments at 2-3; Meta Comments at 1; Microsoft Comments at 1, 5; OpenAI Comments at 1; SEIA Comments at 2; Talen Comments at 2.

³ See AEP Comments at 4; Constellation Comments at 6; Microsoft Comments at 2; Vantage Data Centers Comments at 2.

center development is a major reason why.⁴ The vast majority of commenters agree that the status quo is insufficient to build the infrastructure necessary to meet the moment.⁵ That is simply not an acceptable outcome.

To win the AI race, the United States needs to maximize the use of the infrastructure that we already have, in the short term, while building out a more robust electric grid in the medium-to-long term. To maximize use of existing infrastructure, the Commission must prioritize the issues on which it can make the most immediate and meaningful progress. Accordingly, Vistra reiterates that the Commission should pursue the following path:

- First, the Commission should issue—as soon as possible—unequivocal determinations (either in Docket No. EL25-49 *et al.*, other pending docket(s), or in this docket) that provide immediate clarity on how existing rules should be applied while the Commission works to implement reforms in this proceeding. Doing so will help ensure that this important proceeding does not become a roadblock to concluding the commercial arrangements needed to unlock investment. In particular, the Commission should make clear:
 - The co-location of large loads with existing generation resources is permissible under existing rules, including generator modification rules,⁶ and the “necessary study” process.⁷
 - Cost causation principles require that the parties to such an arrangement fund any necessary network upgrades, and the transmission service that facilitates

⁴ See Constellation Comments at 3-5; Data Center Coalition Comments at 5-6; PJM Comments at 8; PPL Comments at 16; PSEG Comments at 13; Talen Energy Comments at 2.

⁵ See AEP Comments at 2; Data Center Coalition Comments at 4 (“The status quo is not serving the nation’s economic or reliability needs.”); Eolian Comments at 13; NYISO Comments at 8 n.19; Vantage Data Centers Comments at 7 (“The industry needs a more efficient regulatory framework to manage the challenges posed by large-load interconnection.”).

⁶ The *pro forma* LGIA contains provisions regarding modifications to existing generator interconnections. See *pro forma* LGIA § 5.19. Many RTO tariffs incorporate these provisions. See, e.g., Midcontinent Independent Sys. Operator, FERC Electric Tariff, attach. X (Generator Interconnection Procedures), app. 6 (Generator Interconnection Agreement) (108.0.0), § 5.19.

⁷ The necessary study process is described in PJM’s Tariff. We use the phrase “necessary study” to refer specifically to that existing PJM process.

- these arrangements be determined by actual use of the transmission system based on their net load.
- Transmission providers must continue to apply the rate on file and permit such arrangements to move forward under existing rules. The Commission should ensure that studies begun under a particular set of rules do not need to be restarted should those rules change or new rules be adopted.
 - Commercial agreements entered into under rules in effect now will not be upended by reforms adopted in the future.
 - Transmission-level load interconnections are Commission-jurisdictional (yet, as described below, the states retain significant authority over large loads, including over the terms of retail service).
- Second, the Commission should establish nationwide rules governing interconnection arrangements involving new generation resources and co-located loads.⁸ Unlike configurations in which co-located load is added to an *existing* generator's interconnection, there are currently no rules governing the interconnection of new co-located generation and load that seek to interconnect to the transmission system. Thus, new *pro forma* tariff language will be necessary to effectuate the coordinated study of new load co-located with *new* generation. That should be the first set of reforms the Commission proposes in this rulemaking proceeding. This is the appropriate place to start the reform effort because (1) the Commission has a long history of regulating generator interconnection, and (2) as explained in the DOE ANOPR Proposal, co-locating load and generation facilitates efficient siting and can minimize the need for costly network upgrades.⁹
- Eventually, it may be appropriate for that new process to also address the co-location of new loads with existing generation resources. To explore this possibility, the Commission should consider whether to retain its existing generating facility modification rules (and continue applying those rules to co-location of new loads with existing generation) or to apply the new rules developed in this proceeding to co-location with existing generation.¹⁰

⁸ While the DOE ANOPR Proposal uses the term “hybrid facility” to refer to loads that share a point of interconnection with a generation facility, the Commission has used the term “hybrid” to describe generators with two generating technologies. Compare DOE ANOPR Proposal at P 9, with FERC, *Hybrid Resources White Paper* 3-5 (May 2021), <https://www.ferc.gov/sites/default/files/2021-05/white-paper-hybrid-resources.pdf>. To the extent that the Commission creates tariff language governing configurations in which a load shares a point of interconnection with a generation facility, we recommend the Commission create a new and unambiguous term to describe such arrangements.

⁹ DOE ANOPR Proposal at P 20.

¹⁰ However, as noted above, studies begun under existing rules should not be restarted should those rules change, or new rules be adopted.

- Third, the Commission should exercise its jurisdiction to establish new transmission-level load interconnection procedures for loads that are not co-located with generation resources—i.e., loads that do not share a point of interconnection with a generator. Standalone load interconnections are no less important than other load interconnections, but the associated rules may be more time consuming to develop. The Commission could propose those reforms in this rulemaking docket or establish a separate docket for that purpose, but in any event those reforms should not hold up the above reforms related to co-location. As described below, this step is fully consistent with the Commission’s jurisdiction over transmission. This represents a new application of the Commission’s jurisdiction and the area where it has the least familiarity and experience. As such, Vistra believes it would behoove the Commission to take a more measured approach here and develop the record necessary to ensure that its reforms fully realize the goals and transformative potential of Secretary Wright’s proposal.

The balance of these comments provides more detail on how the Commission should move forward on co-location (including co-location involving existing generation and co-location involving new generation) and standalone transmission-level load interconnection.

II. Co-Location

A wide range of commenters across all segments of the industry agree that the co-location of loads and generation is one of the most promising vehicles to get the most out of existing infrastructure.¹¹ Regardless of the configuration, co-location can minimize the system impacts of new large loads and reduce the need for costly network upgrades.¹² In the short term, co-location therefore represents one of the best ways to build the digital infrastructure needed to win the AI race. As discussed below, while all types of co-location should be facilitated and incentivized, the

¹¹ See Amazon Comments at 6-7; America’s Power Comments at 2-3, 4-5; CEBA Comments at 13-17; Constellation Comments at 38; Illinois AG Comments at 8; Joint Consumer Advocates Comments at 18; Maryland PSC Comments at 6-7; Meta Comments at 5; Microsoft Comments at 8-9; OMS Comments at 13; PPL Companies Comments at 17; PSEG Comments at 14.

¹² See Amazon Comments at 7; Constellation Comments at 14-15; PSEG Comments at 14.

procedures by which the Commission can do so will vary depending on whether the co-location arrangement involves an existing generator or a new generator.

A. Types of Co-location

1. Co-location with Existing Generation

Co-location of new loads with existing generation resources is the lowest hanging fruit for Commission action because both the infrastructure and the rules to facilitate the use thereof already exist. Further, there is a fully briefed Commission docket, with an extensive record, in which the Commission can act to facilitate these arrangements. As Vistra has previously explained, the Commission should issue unequivocal determinations in Docket No. EL25-49 *et al*, and/or other pending docket(s), to provide immediate clarity on how existing rules should be applied. While the Commission could consider changing those rules in the context of future reforms in this proceeding, as discussed below, the Commission must not allow parties that seek to delay new large load interconnections to use this important proceeding to freeze the industry and prevent the rapid development of digital infrastructure needed to win the AI race.

The record in this proceeding provides further support for these arrangements. As multiple commenters explain, the technologies required to facilitate the co-location of new loads behind-the-meter at existing generating facilities are reliable and technically sound. For instance, CAISO explains that “strict, unwavering protections like circuit breakers at their point of interconnection” can maintain reliability with “only those network upgrades necessary based on the requested net [withdrawal and injection] rights.”¹³ ENGIE explains that the “[t]echnology to prevent

¹³ CAISO Comments at 8-9.

unauthorized flows exists and is currently in use.”¹⁴ ODEC similarly notes that its distribution cooperative members are already installing similar system protection devices on storage facilities.¹⁵

While some commenters appear to limit their support of co-location arrangements only to co-located facilities involving *new* generation,¹⁶ such an approach will produce counterproductive results because *retaining existing generation* is critical to resource adequacy.¹⁷ The record also supports the proposition that the Commission need not create a new resource adequacy study to facilitate co-location of new loads with existing generators. As PSEG explains, such studies are not performed even for retiring generators, and adding an evaluation of resource adequacy issues for co-located load arrangements would be “unnecessary, inefficient, unduly discriminatory, and not the correct legal or practical fit for these arrangements.”¹⁸ It would be remarkably inefficient—and unduly discriminatory—to inadvertently incentivize the retirement of existing generation at exactly the wrong moment by creating barriers to the co-location of new loads with existing generating facilities.

2. Co-location with New Generation

After the Commission clarifies how existing rules should be applied to co-location arrangements involving existing generation, the Commission should prioritize reforms to facilitate the interconnection of co-location arrangements involving new load and new generation. The

¹⁴ ENGIE Comments at 9.

¹⁵ ODEC Comments at 7.

¹⁶ See Maryland PSC Comments at 7-8; Ohio Federal Energy Advocate Comments at 5; Joint Consumer Advocates Comments at 18, 27-28.

¹⁷ Constellation Comments at 16-17.

¹⁸ PSEG Comments at 16-17.

record reflects broad support for these configurations,¹⁹ as they minimize the need for network upgrades, minimize line losses, and create efficiencies in equipment, land use, permitting, and siting.²⁰

The record also demonstrates broad support for coordinating the load and generator studies for co-located facilities.²¹ Doing so can facilitate more efficient planning, promote more cost-effective transmission solutions, and reduce uncertainty for project developers by aligning study timelines.²² Some commenters warn that the studies cannot be fully combined, as transmission providers need to model contingencies relating to each component of the facility separately.²³ Even if that is true, it does not diminish the significant benefits of coordinating the studies in terms of efficiency, transparency, and aligning project milestones.²⁴

Critically, the Commission can act expeditiously to incentivize and accelerate the development of these facilities without protracted litigation. Even commenters that contest the

¹⁹ See Advanced Energy United Comments at 12-13; American Transmission Company Comments at 3; Chevron Comments at 4; Data Center Coalition Comments at 5; Maryland PSC Comments at 6-7; Meta Comments at 4-6; Ohio FEA Comments at 5; PPL Companies Comments at 16-18; SEIA Comments at 20-21; Texas Blockchain Council Comments at 2.

²⁰ See Data Center Coalition Comments at 5; Maryland PSC Comments at 6-7; Ohio FEA Comments at 5; PPL Companies Comments at 17.

²¹ See CEBA Comments at 8; DTE Electric Comments at 1-2; Entergy Comments at 5; Joint Consumer Advocates Comments at 18; Meta Comments at 5; Microsoft Comments at 8-9; SPP TOs Comments at 5; *see also* Governors Shapiro and Youngkin Comments at 1 (supporting the DOE ANOPR Proposal's efforts to study hybrid facilities more efficiently); ISO-NE Comments at 6 (explaining that ISO-NE already employs a coordinated study process); Massachusetts AG Comments at 7 (supporting more efficient siting as a form of ratepayer protection).

²² See CEBA Comments at 8; Entergy Comments at 5; Microsoft Comments at 8-9; *see also* CAISO Comments at 6 ("Providing a single study process for large load, hybrid, and generating facilities may simplify many aspects for transmission providers and developers.").

²³ See Constellation Comments at 13-15; Indicated PJM TOs Comments at 36-37; MISO Comments at 23; ODEC Comments at 5-6.

²⁴ See CEBA Comments at 8-9.

Commission's jurisdiction over transmission-level load interconnection acknowledge that the Commission has clear jurisdiction over the interconnection of co-located facilities.²⁵ The reason is simple: the Commission has long exercised jurisdiction over generator interconnection, and "the Commission does not lose its jurisdiction over the interconnection simply because a load also happens to interconnect to the interstate grid at the same point."²⁶

In short, there is no reasonable jurisdictional basis to contest the Commission's ability to regulate the interconnection of co-located facilities. Therefore, the Commission can proceed with implementing reforms to facilitate the interconnection of co-located facilities more quickly, while it resolves the more complex issues raised in the ANOPR on a slightly longer timeline.

Constellation raises the valid concern that a process to expedite the coordinated study of co-location arrangements involving new generation would be unduly discriminatory against existing generation because it would incentivize load to co-locate only with new generation.²⁷ But the Commission can design a process that alleviates those concerns. As noted above, the Commission should clarify that existing generator modification rules, including the necessary study process, can be used to add co-located load to an existing generator's point of interconnection. In the context of that clarification, the Commission could indicate that it intends to keep those rules in place moving forward and that those rules must provide load interconnection on a timeline no longer than the equivalent process to facilitate load co-location with new generation. Alternatively, the Commission could clarify that those rules will continue to apply

²⁵ See DTE Electric Comments at 6, 8-11; Pennsylvania PUC Comments at 11.

²⁶ Constellation Comments at 8-9.

²⁷ See *id.* at 14-16.

only for an interim period, but that it intends to adopt a broader co-location framework that will eventually replace those existing rules and apply equally to co-location arrangements with new and existing generation resources.²⁸ Either approach can avoid undue discrimination provided it accommodates co-location configurations in a comparable manner and on a comparable timeline regardless of whether they involve new or existing generation. And either approach would be workable as long as it applies only prospectively and does not disrupt existing commercial agreements or projects already being studied.

While some commenters suggest that the Commission divert its resources to address resource adequacy issues through other mechanisms outside the scope of this proceeding, like nationalizing PJM's reliability backstop auction,²⁹ Vistra believes that the Commission can address those issues by unlocking the potential of co-location. Many large load developers seek to pair their loads with generation, but the lack of clear and coordinated processes to effectuate those configurations has stymied that development.³⁰ Facilitating and incentivizing these facilities will unleash a flood of private capital to help bolster resource adequacy across the country while focusing cost recovery for new generation on the entities that desire it.

B. Substantive Principles for Co-Location

Certain substantive principles should apply equally to all types of co-location configurations. The DOE ANOPR Proposal correctly provides that transmission providers should

²⁸ If the Commission takes this approach, it is critical that it clarify that it will not unwind studies or commercial arrangements entered into under existing rules.

²⁹ See Talen Comments at 7-9.

³⁰ See Data Center Coalition Comments at 5-6; Digital Energy Council Comments at 2; Tesla Comments at 3; Vantage Data Centers Comments at 5-7.

serve, and charge, co-located facilities based on their actual use of the transmission system, i.e., based on their net—not gross—injections and withdrawals.³¹ As many commenters recognize, that approach is both legally required under the Federal Power Act’s cost causation principle and the right policy choice because it will incentivize parties to make the most efficient use of the transmission system.³²

As CAISO explains, identifying network upgrades for co-located facilities based on their net injection and withdrawal rights is beneficial for both ratepayers and developers, avoiding unnecessary costs and long construction timelines.³³ ISO-NE supports studying co-located facilities based on their net injection and withdrawal rights and notes that doing so would be reflected in study assumptions and could even reduce the need for certain analyses during the study process.³⁴ CAISO further states that providing transmission service based on withdrawal rights will “[c]orrectly incentiviz[e] large load developers to right-size their withdrawal rights and

³¹ DOE ANOPR Proposal at P 22 (“Fifth, hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system.”); *id.* P 23 (“Sixth, any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights.”); *id.* P 28 (“Eleventh, utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to load.”).

³² See CAISO Comments at 8-12, 15; Constellation Comments at 19-22, 32-36; ENGIE Comments at 8-9, 12-13; Industrial Customer Organizations Comments at 22-24 (supporting Principle 11); ISO-NE Comments at 7-8 (supporting Principle 5 and commenting on Principle 6); OpenAI Comments at 2 (supporting Principle 5); Terraflux Comments at 2; Tesla Comments at 2 (supporting Principles 5 and 11); Vantage Data Centers Comments at 6-7 (supporting Principle 5); Vistra Comments at 32-33.

³³ CAISO Comments at 8.

³⁴ ISO-NE Comments at 7-8 (“ISO-NE is supportive of [Principle 5], the impacts of which would be reflected in study assumptions.”).

injection rights,” thereby “help[ing] states, transmission providers, and load-serving entities avoid unnecessary network upgrades and additional generation procurement at ratepayers’ expense.”³⁵

A host of commenters agree that identifying a co-located facility’s network upgrades and charging it for transmission service based on its actual use of the transmission system ensures the reliable interconnection of co-located facilities without overestimating their impact on the transmission system, maximizing the efficiency of transmission system buildout, to the benefit of load customers and other retail ratepayers.³⁶ Doing so also comports with cost causation, ensuring that load customers—particularly load customers fully funding upgrades under a participant funding arrangement—are not obliged to pay the full costs of upgrades for which they are not the “but for” cause, and are not forced to take or pay for transmission service that they do not actually use.³⁷ Finally, providing transmission service to co-located facilities based on their actual use of the transmission system will incentivize more new large loads to interconnect via co-location, which is undoubtedly the large load interconnection model most likely to fulfill speed-to-power needs while minimizing strain on the grid.³⁸

³⁵ CAISO Comments at 15.

³⁶ See Constellation Comments at 20-21, 33-36; ENGIE Comments at 8, 12; OpenAI Comments at 2; Vantage Data Centers Comments at 6-7; Vistra Comments at 33 (citing *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, at PP 1510-1511, *order on reh’g*, 185 FERC ¶ 61,063 (2023), *order on reh’g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024)).

³⁷ See Constellation Comments at 34; Industrial Customer Organizations Comments at 22-24 (“The ‘actual use’ principle is critically important to the calculation of billing determinants and the assessment of various Commission-jurisdictional charges for transmission service, and also for capacity service and ancillary services. Customers with behind-the-meter generation should be billed on a net basis (accounting for their net demand requirements) and not on a gross load basis [T]he Commission should affirm measurement of ‘actual use’ of the transmission system in allocating transmission costs”); Vistra Comments at 33.

³⁸ See ENGIE Comments at 8; OpenAI Comments at 2; Vantage Data Centers Comments at 7; Vistra Comments at 32-33.

Multiple commenters, including grid operators, identify commonsense protections necessary to reliably enable this approach. For example, CAISO explains that the Commission must require co-located facilities whose network upgrades are based on their net injection and withdrawal rights to take measures that ensure that they behave according to those rights, such as installing circuit breakers at their point of interconnection and providing transmission providers with real-time direct telemetry and outage schedules.³⁹ ISO-NE argues that protection schemes should be “simple, straightforward, and standardized,” should act only behind the point of interconnection, and must be designed to account for potential failures.⁴⁰ MISO states that it “agrees that hybrid interconnections should be required to install protective relays to prevent unauthorized injections or withdrawals.”⁴¹ CAISO also notes that transmission providers must have detailed modeling information to study the full load and generating capabilities of each component of a co-located facility in order to ascertain reliability impacts and identify the correct system protections.⁴² Vistra supports enabling transmission providers to identify and impose requirements to ensure that co-located facilities inject and withdraw according to their rights, as well as other measures necessary to ensure reliable operation of the transmission system. Importantly, the Commission must ensure that any such requirements are just and reasonable and not unduly discriminatory or preferential.

³⁹ CAISO Comments at 8, 11.

⁴⁰ ISO-NE Comments at 8-9.

⁴¹ MISO Comments at 25.

⁴² CAISO Comments at 8-9

Objections to identifying network upgrades and assessing transmission charges based on a customer's actual usage of the transmission system are unpersuasive.⁴³ The record in this proceeding indicates that transmission providers can—and already do—rely on system protection facilities to ensure that co-located facilities can be limited to their requested injection and withdrawal rights.⁴⁴ Indeed, the comments of multiple transmission providers demonstrate that the market operators, balancing authorities, and reliability coordinators responsible for maintaining reliability across swaths of the Eastern and Western Interconnections believe that they can reliably interconnect co-located facilities with network upgrades identified based on their actual use of the transmission system. As CAISO notes, “strict, unwavering protections like circuit breakers at [a facility’s] point of interconnection” allow CAISO to interconnect hybrid facilities safely and reliably.⁴⁵

Finally, some transmission providers argue that netting will be complex to implement.⁴⁶ Though little evidence is offered in support of these claims, it should be no surprise that meeting

⁴³ See Duke Energy Comments at 19-20; SPP Comments at 10-11.

⁴⁴ See American Transmission Company Comments at 10-11 (explaining that American Transmission Company charges its transmission service customers with behind-the-meter hydroelectric generation for transmission service based on net usage and that the customers go offline in their generators fail); Constellation Comments at 21-22; ENGIE Comments at 8-9 (“Technology to prevent unauthorized flows exists and is currently in use. As long as injection and withdrawal rights are agreed upon between the facility and the transmission provider and are clearly delineated in the interconnection agreement, a hybrid facility will be able to satisfy the operational parameters.”); ODEC Comments at 7-8 (explaining that ODEC’s distribution cooperative members are already installing system-protection devices on storage facilities that trigger a complete disconnection from the grid during certain fault conditions, but noting that clear standards are needed to prevent cascading disconnections in situations where a generator outage causes a trip of loads served by transmission lines that are not electrically connected to the generator).

⁴⁵ CAISO Comments at 8.

⁴⁶ See Duke Energy Comments at 17-18; MISO Comments at 24, 27-28.

unprecedented demand growth will require regions to rethink certain processes designed for a bygone era.⁴⁷

III. There Are Multiple Policy Options for Allocating Network Upgrade Costs

There is much debate in the record over who should pay for the network upgrades needed to interconnect new large loads, regardless of whether they are co-located with generation. While a number of commenters support the ANOPR's principle that new loads should be responsible for 100% of the network upgrade costs they require,⁴⁸ many transmission providers oppose that principle and suggest that they should roll the costs of those network upgrades into rate base.⁴⁹

Notwithstanding that debate, commenters recognize that the Commission cannot depart from its prohibition on "and" pricing.⁵⁰ Any network upgrade cost allocation method must adhere to the longstanding rule that a transmission provider may charge a transmission customer either the incremental cost of expanding the transmission system to provide the customer's requested service, or the embedded costs of the transmission system with expansion costs rolled in, but not

⁴⁷ This line of argument is particularly unpersuasive given that PJM implemented netting under its BTMG program over two decades ago. *See, e.g.*, PSEG Comments at 22; *PJM Interconnection, L.L.C.*, Comments of Vistra Corp., Docket No. EL25-49-000 et al., at 14 (filed Apr. 23, 2025) (citing *PJM Interconnection, L.L.C.*, Submission of Revisions to Open Access Transmission Tariff, the Amended and Restated Operating Agreement, Etc., Docket No. ER04-608-000 (March 1, 2004)).

⁴⁸ *See* Illinois AG Comments at 11-12; ISO-NE Comments at 10; Joint Consumer Advocates Comments at 25; Maine OPA Comments at 2-3; Maryland PSC Comments at 11; NECOS and ENE Comments at 19-20; NRECA Comments at 20-21; NRG Comments at 26-28; ODEC Comments at 9; Ohio Consumers' Counsel Comments at 2; Southern Maryland Electric Cooperative Comments at 4-6.

⁴⁹ *See* Duke Energy Comments at 22-24; EEI Comments at 8-9, 12; Exelon Comments at 6-11; Indicated PJM TOs Comments at 9-15; MISO TOs Comments at 26-27; PG&E Comments at 16-17.

⁵⁰ *See* EEI Comments at 13 n.23; NRECA Comments at 20-21; Vantage Data Centers Comments at 11; WIRES Comments at 7; *cf.* Exelon Comments at 9-10.

both.⁵¹ This prohibition on “and” pricing ensures that transmission providers do not charge transmission customers twice for the same infrastructure.⁵² With that starting point, there are essentially three options for network upgrade cost allocation in the load interconnection process:

1. **Participant Funding:**⁵³ The large load customer pays the incremental cost of upgrades identified for which it is the “but for” causer, i.e., without the load customer, the upgrades would not be built. The customer also pays for its net use of the transmission system at the transmission provider’s embedded-cost rate for transmission service based on the transmission provider’s revenue requirement, which *does not* include the cost of the upgrade that the customer funded.⁵⁴

⁵¹ *Inquiry Concerning the Commission’s Pricing Policy for Transmission Servs. Provided by Pub. Utils. Under the Fed. Power Act*, 59 Fed. Reg. 55031 (Nov. 3, 1994), FERC Stats. and Regs. ¶ 31,005 (1994)).

⁵² *See Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103, at P 694 (2003), *order on reh’g*, Order No. 2003-A, 106 FERC ¶ 61,220, at PP 579, 586, *order on reh’g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh’g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff’d sub nom. Nat’l Ass’n of Regul. Util. Comm’rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

⁵³ In objecting to the participant funding option, Exelon argues that “[o]nce a large load has fulfilled its responsibility (whether immediately or over time) for funding certain upgrades, prohibitions on ‘and’ pricing would draw one to the conclusion that they would, immediately or eventually, not be responsible for any further payments for transmission service.” Exelon Comments at 9-10; *id.* at 7; *see also* Indicated PJM TOs Comments at 15. But under the participant funding option described above, the transmission provider would not include in its transmission revenue requirement the cost of the upgrades that the customer, not the transmission provider, paid. As such, the prohibition on “and” pricing would not be relevant.

⁵⁴ *See* Illinois AG Comments at 11-12; ISO-NE Comments at 10; Joint Consumer Advocates Comments at 25; Maine OPA Comments at 2-3; Maryland PSC Comments at 11; NECOS and ENE Comments at 19-20; NRECA Comments at 20-21; NRG Comments at 26-28; ODEC Comments at 9; Ohio Consumers’ Counsel Comments at 2; PJM Comments at 8-9; Southern Maryland Electric Cooperative Comments at 4-6.

The NY Utility Intervention Unit notes that participant funding could include a “shared upgrade facility”-style crediting mechanism, in which later-queued load customers share in cost responsibility for network upgrades identified in their studies that have already been funded by earlier-queued interconnection customers by paying a partial reimbursement to the original participant funder. *See* NY Utility Intervention Unit Comments at 9.

2. **Initial Funding + Crediting:** The large load customer pays the incremental cost of upgrades identified for which it is the “but for” causer. The transmission provider refunds the customer the entire amount the customer spent on the upgrade over time in the form of transmission credits. The customer also pays for its net use of the transmission system at the transmission provider’s embedded-cost rate for transmission service based on the transmission provider’s revenue requirement, which *does* include the costs of the upgrade that the customer funded.⁵⁵
3. **Embedded-Cost Pricing:** The costs of upgrades necessary to accommodate the large load customer are rolled into the transmission provider’s transmission revenue requirement. The customer pays for its net use of the transmission system at embedded-cost transmission rates based on that revenue requirement.⁵⁶

Vistra believes that either of the first two options could be just and reasonable. There is widespread support among commenters for the principle that large loads should be responsible for funding 100% of the network upgrade costs they are assigned through the interconnection study process.⁵⁷

Options 1 and 2 are both consistent with that principle.

⁵⁵ See Bloom Energy Comments at 13-15; Digital Power Network Comments at 4; Duke Energy Comments at 22-24; EEI Comments at 12; EDF Power Solutions Comments at 17; ISO-NE Comments at 10-11 (supporting 100% cost allocation to the load customer and stating that “any crediting mechanism should be simple”); Microsoft Comments at 11-12; PG&E Comments at 16-17; SPP TOs Comments at 8; Vantage Data Centers Comments at 11.

⁵⁶ See EEI Comments at 8-9; Exelon Comments at 6-11; Indicated PJM TOs Comments at 9-15; MISO TOs Comments at 26-27.

⁵⁷ See Illinois AG Comments at 11-12; ISO-NE Comments at 10; Joint Consumer Advocates Comments at 25; Large Public Power Council Comments at 14-15; LS Power Comments at 6; Maine OPA Comments at 2-3; Maryland Energy Administration Comments at 5; Maryland PSC Comments at 11; NECOS and ENE Comments at 19-20; NY Utility Intervention Unit Comments at 9-10; NRECA Comments at 20-21; NRG Comments at 26-28; ODEC Comments at 9; Ohio Consumers’ Counsel Comments at 2; PJM Comments at 8-9; Southern Maryland Electric Cooperative Comments at 4-6.

The third option, to contrast, creates a significant risk of cost shifts to other customers if a large load customer fails to materialize, consumes less energy than intended, or ceases operation sooner than anticipated. As NRG explains, the types of revenue guarantee commitments that traditional utilities propose to mitigate this concern are not, in practice, tied to the revenue requirements of the network upgrade costs needed to accommodate that specific customer.⁵⁸ That disconnect raises the potential for significant cost shifting.⁵⁹ Moreover, the third option dulls the price signal to encourage efficient siting of large load additions.⁶⁰

What remains is simply a policy choice for the Commission. Participant funding without crediting holds harmless other customers, guaranteeing that they will not be saddled with potentially significant transmission investments required to serve large loads.⁶¹ However, to the extent incorporating a large load's network upgrade costs into rate base can actually lower average transmission rates—as evidence suggests it can⁶²—participant funding foregoes the opportunity to realize that upside.⁶³ Initial funding with crediting could provide that benefit, but may also allow the transmission provider to earn a profit on the network upgrade costs that the transmission provider did not actually itself expend, potentially at a higher cost than the financing available to

⁵⁸ NRG Comments at 27-28.

⁵⁹ *Id.*

⁶⁰ *Id.*; see also Bloom Energy Comments at 14; Duke Energy Comments at 22; NRECA Comments at 20.

⁶¹ See Joint Consumer Advocates Comments at 24-27; Maine OPA Comments at 2-3; NRECA Comments at 20-21; Ohio Consumers' Counsel Comments at 2-3; Ohio FEA Comments at 5; PJM Comments at 8-9; Southern Maryland Electric Cooperative Comments at 5.

⁶² Ryan Wiser et al., *Factors Influencing Recent Trends in Retail Electricity Prices in the United States*, *The Elec. J.*, Dec. 2025, at 5-6, 8.

⁶³ See Exelon Comments at 8-9 & note 18; Indicated PJM TOs Comments at 15, 20-21.

the large load customer.⁶⁴ Participant funding also furthers speed to power by providing cost certainty that can be built into a large load customer's commercial negotiations, whereas a crediting approach could entail more uncertainty and necessitate a risk premium in commercial arrangements.

IV. Standalone Load Interconnection

After the Commission addresses the issues that are most readily solvable in the near-term, it should proceed to exercise jurisdiction to regulate load interconnection to the transmission system for loads that are not co-located with generation resources. These reforms may be more time consuming to develop because they represent a new application of the Commission's jurisdiction. However, as indicated below, Vistra believes that this step is fully consistent with the Commission's jurisdiction, there is a clear need for reform to prevent undue discrimination, and a more standardized load interconnection process could bring a host of other benefits.

A. Jurisdiction

While a number of commenters contest FERC's authority to regulate interconnections to the transmission system, none do so in a thorough or persuasive manner. For instance, several commenters rely on arguments that the DOE ANOPR Proposal will infringe on state authority over siting or the terms of retail sales.⁶⁵ But as Vistra explained at length in its initial comments, it is entirely possible for FERC to regulate the interconnection process without infringing on these state jurisdictional issues. Indeed, Vistra's Exhibit A illustrates the extent to which federal jurisdiction over load interconnection to the transmission system would *not* impact existing state

⁶⁴ Illinois AG Comments at 12.

⁶⁵ See NESCOE Comments at 4-6; New Mexico PRC Comments at 4; OMS Comments at 5-6; Pennsylvania PUC Comments at 10.

large load tariffs.⁶⁶ Simply put, there is nothing about regulating the transmission-level interconnection of large loads that necessarily implicates states’ reserved authority over retail sales.

Multiple commenters also rely on the theory that the purpose of the interconnection determines jurisdictional boundaries, so all load interconnection is necessarily state jurisdictional.⁶⁷ OPSI and the CPUC emphasize that large loads do not seek to interconnect to engage in FERC-jurisdictional wholesale transactions; rather, they interconnect to purchase electricity for consumption at retail.⁶⁸ That is beside the point. The Commission recently rebutted this line of argument by explaining that it historically exercised authority over generator interconnection “based on the nature of interconnection to the transmission system generally, not the purpose for such interconnection (i.e., to make a wholesale sale or to make a wholesale or retail purchase)[.]”⁶⁹ Indeed, in Order Nos. 2003 and 2003-A, the Commission addressed the “purpose of the interconnection” only in the context of explaining when it would assert jurisdiction over interconnections to *distribution* facilities.⁷⁰

That conclusion is further illustrated by a Commission order quoted by the PA PUC as follows: “[if] no wholesale transaction is being conducted over [a facility], . . . there is no

⁶⁶ Vistra Comments, attach. A.

⁶⁷ See California PUC Comments at 11; New York PSC Comments at 6; OPSI Comments at 5; see also Virginia State Corporation Commission Comments at 5 (disputing the DOE’s assertion that large loads interconnecting to the transmission system do so to obtain transmission service).

⁶⁸ California PUC Comments at 11; OPSI Comments at 5.

⁶⁹ *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115, at P 72 (2025) (“Show Cause Order”).

⁷⁰ See Order No. 2003, 104 FERC ¶ 61,103 at PP 795, 803-809; Order No. 2003-A, 106 FERC ¶ 61,220 at PP 710, 730.

Commission-jurisdictional use of the facilities.”⁷¹ The omitted part of that sentence clarifies that the facilities at issue were distribution facilities. Indeed, that entire statement was made in the context of a determination about whether to assert jurisdiction over an interconnection to a 34 kV line that all parties agreed was a local distribution facility.⁷² The Commission declined to assert jurisdiction over the interconnection because Order No. 2003 only asserted jurisdiction over interconnections to distribution facilities where those facilities were used to make wholesale sales.⁷³

Along a similar vein, some entities suggest that some of the equipment in the “last mile” between the load and the transmission system always qualifies as distribution facilities under the Commission’s seven-factor test, such that load interconnections are always state jurisdictional.⁷⁴ But this argument is squarely foreclosed by language in Order Nos. 888 and 888-A. Specifically, in Order No. 888, the Commission explained that “even where there are no identifiable local distribution facilities, states nevertheless have jurisdiction in all circumstances over the service of delivering energy to end users.”⁷⁵ While some argue that this quote shows that the “last mile”

⁷¹ Pennsylvania PUC Comments at 5-6 (citing *PJM Interconnection, LLC*, 116 FERC ¶ 61,102, at P 22 (2006)).

⁷² *PJM Interconnection, LLC*, 116 FERC ¶ 61,102 at PP 4-5, 19, 22 (“Because no wholesale transaction is being conducted *on ComEd’s distribution facilities*, we find that there is no Commission-jurisdictional use of the facilities, so the Commission’s jurisdiction *under Order No. 2003* does not extend to use of those facilities.” (emphasis added)).

⁷³ *Id.* PP 18, 22-24.

⁷⁴ See Joint Consumer Advocates Comments at 5-6; Pennsylvania PUC Comments at 4-5; see also Exelon Comments at 4 note 6.

⁷⁵ See *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Public Utils.; Recovery of Stranded Costs by Pub. Utils. and Transmitting Utils.*, Order No. 888, 61 Fed. Reg. 21,540, at 21,626 (1996), FERC Stats. and Regs. ¶ 31,036 (1996), order on

always includes some distribution facilities, it in fact stands for the opposite proposition. In contemplating that state jurisdiction would exist even where there are “no identifiable local distribution facilities” used to deliver energy to end users, the Commission necessarily contemplated a situation where the end user is served directly from the transmission system without distribution facilities. The Commission further explained that even in such cases, where no “identifiable distribution facilities” are used to deliver energy to end users, states still retain jurisdiction over retail service. As Vistra explained in its initial comments, Commission jurisdiction over the *interconnection* of loads to the transmission system does not disrupt that state jurisdiction over the retail service that load takes after it is interconnected.⁷⁶

The Commission further confirmed that the “last mile” need not always include distribution facilities in Order No. 888-A by specifically rejecting calls from state commissions to abandon the seven-factor test in favor of a bright line test based on whether a facility is used to serve retail load.⁷⁷ In rejecting that request, the Commission explained that the line between transmission and distribution facilities does not follow the same bright line as that between wholesale and retail sales of energy.⁷⁸ Thus, the Commission indicated that (1) retail transactions can occur without any distribution facilities and, relatedly, (2) facilities used to deliver electricity to end-users are not

reh’g, Order No. 888-A, 62 Fed. Reg. 12,274 (1997), FERC Stats. and Regs. ¶ 31,048 (1997), *order on reh’g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff’d in relevant part sub nom. Transmission Access Pol’y Study Grp. v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff’d sub. nom. New York v. FERC*, 535 U.S. 1; *see also id.* app. G (“In addition, regardless of the details of the chain of delivery services necessary to move electric energy from the generator to the end user, *in most cases* the last public utility in the chain will use facilities that historically were considered local distribution facilities.” (emphasis added)).

⁷⁶ Vistra Comments at 13-15.

⁷⁷ Order No. 888-A, 62 Fed. Reg. 12,274 at 12,370-71 (1996).

⁷⁸ *Id.*

necessarily distribution facilities. And more recent Commission precedent confirming that the seven-factor test is a totality of the circumstances test also cuts against arguments that “last mile” facilities are always state jurisdictional based on a rote application of some of the seven factors.⁷⁹

Further bolstering the conclusion that the “last mile” does not always contain distribution facilities are decades of Commission cases illustrating that load customers can, and often do, own the interconnection facilities up to the point of interconnection, either on their own or in conjunction with a co-located generator.⁸⁰ Where the interconnection facilities are self-owned, the utility’s delivery point is at the point of interconnection to the transmission system—and it is clear that the utility does not use distribution facilities to deliver energy to the point of interconnection to the transmission system. And in any event, Commission precedent further supports the conclusion that those “last mile” interconnection facilities do not constitute distribution facilities.⁸¹

⁷⁹ See *S. Cal. Edison Co.*, 153 FERC ¶ 61,384, at P 19 (2015) (“The seven factor test is not subject to formulaic application or categorical standards. Rather, the test requires comprehensive consideration of how the totality of the circumstances bears on each of the seven factors.”); *Commonwealth Edison Co.*, 167 FERC ¶ 61,173, at PP 26-27 (2019) (eschewing a rote application of the seventh factor and finding that the lower voltage of the project was indicative of the benefits of using superconductor cable rather than the capacity or purpose of the project).

⁸⁰ See *King Mt. Upton Wind, LLC*, 180 FERC ¶ 61,029, at P 1 (2022); see also, e.g., *Sycamore Cogeneration Co.*, 40 FERC ¶ 61,237, at 61,799 (1987) (finding that interconnection facilities owned by a cogeneration facility are part of the qualifying facility); *Dow Chem. Co.*, 148 FERC ¶ 61,017, at PP 5, 16 (2014) (referencing the inclusion of interconnection facilities in cogeneration qualifying facilities); *Alcoa Power Generating*, 120 FERC ¶ 61,035, at P 5 (2007) (discussing the transmission lines owned by an industrial company to connect its manufacturing facilities to electric suppliers).

⁸¹ Indeed, the Commission previously found that an arrangement in which a data center and generator share ownership of interconnection facilities does not affect the status of those facilities as “eligible facilities” for purposes of the generator’s EWG status. *King Mt. Upton Wind, LLC*, 180 FERC ¶ 61,029 at PP 12-19. If the Commission were to find that a large load’s use or ownership of such interconnection facilities rendered them distribution facilities, that may have significant unintended consequences for a co-located generator’s EWG status. See 18 C.F.R. § 366.1 (citing 15 U.S.C. § 79z-5a(a)(2) (defining “eligible facility” to include “interconnecting *transmission* facilities necessary to effect a sale of electric energy at wholesale” (emphasis added))).

Multiple parties raise reasonable arguments, however, about whether it is wise to incorporate the seven-factor test in this instance. For example, ISO-NE and the Massachusetts Attorney General’s Office ask the Commission to clarify who will apply the seven-factor test to make jurisdictional determinations and how it will be applied.⁸² NRG explains that the application of the seven-factor test is often complex and requires hearing procedures, and “[e]xclusive reliance on the seven-factor test to determine whether a facility with which a large load seeks to interconnect is transmission risks creating a long series of time consuming and unproductive disputes . . . which would frustrate the Secretary’s intent . . . [.]”⁸³ To avoid that result, NRG suggests that the Commission adopt a rebuttable presumption that any proposed load interconnection at 230 kV or above is a large load interconnection directly to a transmission facility and thus covered by any standardized procedures the Commission adopts.⁸⁴ Vistra agrees that adopting this rebuttable presumption could increase certainty and therefore avoid unnecessary delays.⁸⁵

Multiple commenters ask the Commission to confine any new requirements to instances where customers take unbundled transmission service and clarify that it is not exercising jurisdiction over load interconnections where the load will take bundled transmission service.⁸⁶ Putting aside the question of whether FERC has the authority to assert jurisdiction over bundled

⁸² See ISO-NE Comments at 4-5; Massachusetts AG Comments at 6.

⁸³ NRG Comments at 7.

⁸⁴ *Id.* at 9-10.

⁸⁵ See Eolian Comments at 7-9 (explaining that bright-line rules governing which loads are subject to the Commission’s interconnection procedures will ensure clarity and prevent protracted litigation).

⁸⁶ See Duke Energy Comments at 7-9; MISO TOs Comments at 17.

retail transmission service, precedent indicates that FERC would not be required to do so.⁸⁷ Indeed, the Supreme Court has explained that FERC has authority to tailor the scope of its Section 206 remedies to solve the specific problem it identifies.⁸⁸ For instance, if FERC finds undue discrimination in transmission-level load interconnection processes—i.e., that transmission providers are gatekeeping access to the transmission system to pressure new large loads to take service from their affiliated generation—FERC could reasonably limit its reforms to unbundled regions.

B. Undue Discrimination

Prompt action is necessary to address the undue discrimination brewing in the transmission-level large load interconnection process. In its initial comments, Vistra identified several ways in which the lack of standardized rates, terms, and conditions for transmission-level load interconnection provides utilities unfettered discretion that creates the potential for textbook examples of undue discrimination.⁸⁹

Vistra’s concerns with undue discrimination are consistent with those raised by other independent power producers and large load customers.⁹⁰ The Clean Energy Buyers Association

⁸⁷ See DOE ANOPR Proposal at PP 4-5 (citing *New York v. FERC*, 535 U.S. 1, 30, 36, 42 (2002) (Thomas, J., concurring in part and dissenting in part)).

⁸⁸ *New York v. FERC*, 535 U.S. at 27 (“Because FERC determined that the remedy it ordered constituted a sufficient response to the problems FERC had identified in the wholesale market, FERC had no § 206 obligation to regulate bundled retail transmissions or to order universal unbundling.”).

⁸⁹ Vistra Comments at 21-24.

⁹⁰ See Alliance for Tribal Clean Energy Comments at 5 (explaining that financial prerequisites privilege well-capitalized private developers, “creat[ing] the same type of undue discrimination that Order No. 2023 sought to eliminate”); CEBA Comments at 8; Constellation Comments at 17-18; Electricity Customer Alliance Comments at 9 (as in Order No. 2003, “the large load interconnection status quo is proving ineffective to ensure just and reasonable rates and prevent undue discrimination”); Eolian Comments at 17-

warns that “unjust and unreasonable delays in interconnection can constitute undue discrimination.”⁹¹ Constellation argues that the absence of consistent standards for large loads creates a “vacuum” in which transmission owners have discretion to deny large load and co-location proposals or impose unreasonable obligations, analogizing these discrimination concerns to those motivating Order No. 2003.⁹²

Other commenters try to distinguish Vistra’s concerns from those motivating Order No. 2003, claiming that utilities lack an incentive to discriminate against large loads.⁹³ But this perspective ignores the significant financial opportunity created by large loads. Importantly, the financial impact of large loads for utilities varies greatly based on the large load configuration and the generation source. There are at least three incentives for discrimination that the Commission can recognize and address: (1) transmission owners with generation affiliates have an incentive to favor the interconnection of large loads that agree to take service from their affiliated generation; (2) transmission owners have an incentive to favor large loads interconnecting in front of the meter to maximize transmission charges; and (3) incumbent utilities have an incentive to seek to develop the generation component of co-located load.⁹⁴

18 (“[T]he absence of standardized, transparent procedures creates opportunities for undue discrimination.”); Invenenergy Comments at 7 (describing security requirements that force load to partner with load-serving entities and “create undue barriers to market entry”); Verrus Comments at 3 (“Unfiled procedures create uncertainty and opportunities for discrimination.”).

⁹¹ CEBA Comments at 8.

⁹² Constellation Comments at 17-18.

⁹³ See Exelon Comments at 15-16; Maryland PSC Comments at 4; MISO Comments at 17-18; MISO TOs Comments at 16; North Carolina Utilities Commission Public Staff Comments at 4-5; OMS Comments at 8; OPSI Comments at 6.

⁹⁴ Vistra Comments at 24.

Commenters arguing that the DOE ANOPR Proposal fails to introduce evidence of undue discrimination⁹⁵ ignore the fact that the Commission “need not, and should not, wait for systemic problems to undermine” critical functions before it acts.⁹⁶ The Commission has warned of the potential for undue discrimination in other proceedings,⁹⁷ and that concern is already manifesting. As Vistra explained in its initial comments, in the absence of clear Commission guidance, utilities are blocking behind-the-meter co-location deals while favoring load interconnection in front of the meter.⁹⁸ Other comments in the record illustrate similar points. For example, in its initial comments, Exelon references its use of transmission security agreements, including deposits and security designed to ensure that large load customers contribute sufficiently to the transmission revenue requirement.⁹⁹ Without standardized rules governing those arrangements, there is no protection to ensure that Exelon will not subject similarly situated customers to different terms.

⁹⁵ See MISO Comments at 17; MISO TOs Comments at 16; NESCOE Comments at 9; New York PSC at 4; OPSI Comments at 6.

⁹⁶ See, e.g., *Transmission Plan. & Cost Allocation by Transmission Owning & Operating Pub. Utils.*, Order No. 1000, 136 FERC ¶ 61,051, at P 50 (2011), *order on reh’g*, Order No. 1000-A, 139 FERC ¶ 61,132, *order on reh’g & clarification*, Order No. 1000-B, 141 FERC ¶ 61,044 (2012), *aff’d sub nom. S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41, 64-65; *Xcel Energy Servs. Inc. v. FERC*, 41 F.4th 548, 560-62 (D.C. Cir. 2022); *Associated Gas Distribs. v. FERC*, 824 F.2d 981, 1008-09 (D.C. Cir. 1987) (“Agencies do not need to conduct experiments in order to rely on the prediction that an unsupported stone will fall; nor need they do so for predictions that competition will normally lead to lower prices.”).

⁹⁷ See Show Cause Order, 190 FERC ¶ 61,115 at P 75.

⁹⁸ See Show Cause Order, 190 FERC ¶ 61,115 at P 51 (explaining that there are allegations in the record that “Exelon has actively blocked several Fully Isolated Co-Located Load projects”); see also *PJM Interconnection, LLC*, Request for Limited Prospective Waiver, Docket No. ER26-313, at 1-2 (filed Oct. 29, 2025) (explaining that the proposed co-located load at the Susquehanna Nuclear facility will now become front-of-the-meter load); Vistra Comments at 23-24 (“There is already substantial evidence of such undue discrimination in the record in ongoing Commission proceedings.”); *id.* at 21 (citing, *inter alia*, *Atl. City Elec. Co.*, Second Motion for Leave and Answer of Constellation Energy Generation, LLC, Docket No. ER24-2888-000, at 2 (filed Nov. 12, 2024) (alleging that “Exelon refuses to review reliability studies and thus blocks interconnection services”)).

⁹⁹ Exelon Comments at 4-5.

This concern is consistent with observations by Invenergy that utilities have imposed “exorbitant” security requirements on large load paired with merchant generation, driving large load to partner with utilities instead of merchant generators.¹⁰⁰

As the Commission has recognized, unchecked discretion without clear standards creates a risk of undue discrimination.¹⁰¹ Utilities are already taking advantage of regulatory uncertainty to extract concessions from data centers. A commitment from the Commission to act on transmission-level load interconnection would discipline utility action and help prevent undue discrimination.

C. Benefits of Standardizing Transmission-Level Load Interconnection

Standardizing transmission-level load interconnection would also bring other benefits. Critically, it would improve the load forecasting process, which would in turn facilitate smarter transmission planning and improve capacity market price signals. Several commenters address the shortcomings of the load forecasting process, particularly over-forecasting caused by speculative or duplicative interconnection requests¹⁰² and the lack of incentive for utilities to scrutinize large forecasts.¹⁰³ Governors Shapiro and Youngkin note that some recent load forecasts even exceed real-world development constraints, such as semiconductor availability.¹⁰⁴

¹⁰⁰ Invenergy Comments at 7.

¹⁰¹ See *Sw. Power Pool, Inc.*, 175 FERC ¶ 61,198, at PP 1, 38-39 (2021) (rejecting proposal to allow SPP’s Board of Directors to approve case-by-case reallocations of transmission costs because the “proposal grant[ed] the [board] too much discretion” without clear standards guiding its decisions, creating a risk that its decisions could result in unjust and unreasonable or unduly discriminatory or preferential cost reallocations).

¹⁰² See Governors Shapiro and Youngkin Comments at 1-2; SEIA Comments at 3; Talen Comments at 9-10.

¹⁰³ SEIA Comments at 3.

¹⁰⁴ Governors Shapiro and Youngkin Comments at 1-2.

A standardized transmission-level load interconnection process would produce a more realistic load forecast. First, it would reduce the incentive for “forum shopping” (including the filing of interconnection requests in multiple jurisdictions) that currently results from process differences across utility service territories. Second, a standardized process could include study deposits, readiness requirements, and withdrawal penalties to deter speculative projects that are unlikely to materialize.¹⁰⁵ Third, a standardized process could introduce a threshold for including large load requests in a system forecast, overhauling the current system where inclusion criteria vary widely among transmission owners.¹⁰⁶ Under a more transparent forecasting regime, Microsoft notes that large load customers could even validate the load levels used by utilities and regional planning entities.¹⁰⁷

A more realistic forecast would result in better transmission planning and capacity market price signals.¹⁰⁸ Load forecasts are a “critical input into Commission-jurisdictional wholesale

¹⁰⁵ See Talen Comments at 9.

¹⁰⁶ Compare PPL, *PPL Service Territory 2026 Load Forecast Adjustments* 4 (Sept. 16, 2025), <https://www.pjm.com/-/media/DotCom/committees-groups/subcommittees/las/2025/20250916/20250916-item-04g---ppl-large-load-request.pdf> (explaining that its load forecast includes the capacity of all potential customers with a “Signed Agreement” (which begins the engineering study phase)), with Exelon, *Exelon Large Load Adjustment Proposal – 2026 PJM Load Forecast* 4 (Sept. 16, 2025), <https://www.pjm.com/-/media/DotCom/committees-groups/subcommittees/las/2025/20250916/20250916-item-04d---exelon-large-load-request.pdf> (explaining that its load forecast includes the capacity of all customers with a signed “Engineering Agreement” that includes a “Construction Commitment”).

¹⁰⁷ Microsoft Comments at 10.

¹⁰⁸ See Governors Shapiro and Youngkin Comments at 1-2; Microsoft Comments at 10; SEIA Comments at 4; see also Letter from FERC Chairman David Rosner to the RTOs/ISOs on Large Load Forecasting (Sept. 18, 2025), <https://www.ferc.gov/news-events/news/chairman-rosners-letter-rtoisos-large-load-forecasting> (“[W]e cannot efficiently plan the electric generation and transmission needed to serve new customers if we don’t forecast how much energy they will need as accurately as possible.”).

market operations.”¹⁰⁹ Refining the forecasting process is critical to ensure that those markets operate efficiently.

V. Conclusion

The Commission now has an extensive record on which to act to ensure the “timely, orderly, and non-discriminatory” interconnection of large loads to the transmission system. Vistra submits that the Commission should prioritize the issues on which it can make the most immediate and meaningful progress. Specifically, Vistra believes that the Commission can make the most significant progress in the near term by facilitating co-location with existing generators under currently effective filed rates and then focusing on reforms related to the co-location of large load and new generation. Doing so will position the industry to meet new demand while maximizing the use of existing infrastructure and minimizing strain on the grid.

[Signatures on next page]

¹⁰⁹ SEIA Comments at 4.

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Dated: December 5, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service lists compiled by the Secretary of the Commission in these proceedings.

Dated: December 5, 2025

Washington, D.C.

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